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THE INFLUENCE OF INCENTIVES ON EMPLOYEE MOTIVATION IN THE IT SECTOR: AN EMPIRICAL STUDY

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Abstract

This study examines the influence of monetary and non-monetary incentives on employee motivation, job satisfaction, engagement, and organizational commitment within the Information Technology (IT) sector. Using a descriptive research design and a structured questionnaire administered to 100 IT professionals in Pune, India, the study finds that incentives significantly affect all measured outcomes. Project-based incentives and salary increments emerged as the most preferred monetary rewards, while flexible work arrangements were the leading non-monetary preference. The data reveals that 83% of respondents agreed that a combination of both incentive types produces the highest motivational impact, underscoring the need for balanced reward systems. Drawing on Maslow's Hierarchy, Herzberg's Two-Factor Theory, Vroom's Expectancy Theory, and Skinner's Reinforcement Theory, the study recommends that IT organizations adopt fair, transparent, and employee-centric incentive programs to reduce attrition and enhance productivity.

Keywords: *employee motivation, monetary incentives, non-monetary incentives, IT sector, job satisfaction, reward systems, organizational commitment*

1. Introduction

In the contemporary knowledge economy, organizations face mounting pressure to attract, engage, and retain high-performing talent. This challenge is particularly acute in the Information Technology (IT) sector, which is characterized by rapid technological change, intense global competition, and demanding project environments. Under such conditions, employee motivation ceases to be merely a human resource concern and becomes a strategic imperative directly affecting innovation, client satisfaction, and organizational sustainability.

Incentive systems—comprising both financial and non-financial rewards—are among the most widely deployed tools for sustaining employee motivation. Monetary incentives such as performance bonuses, salary increments, and project-based rewards address the economic expectations of employees, while non-monetary incentives such as recognition, flexible work arrangements, and career development opportunities satisfy the psychological and social dimensions of employee well-being. The interplay between these two categories of incentives and their collective influence on motivation constitutes the central concern of this study.

Despite a growing body of literature on motivation in general organizational settings, comparatively fewer empirical investigations focus on the Indian IT workforce—a cohort notable for its youth, high educational attainment, and elevated attrition rates. This study addresses that gap by examining how IT professionals in Pune, India perceive and respond to their organizations' incentive structures, and by deriving practical recommendations for HR policy.

1.1 Problem Statement

While IT organizations routinely invest in reward and recognition programs, significant variation exists in their design, perceived fairness, and motivational efficacy. Employees differ in their preferences for monetary versus non-monetary rewards based on age, experience, and personal circumstances. Organizations consequently struggle to identify optimal incentive configurations. This study seeks to systematically analyze how different incentive types influence IT employee motivation and to surface the employee perceptions that should guide incentive design.

1.2 Research Objectives

The study pursues the following objectives:

1. To identify the types of incentives prevalent in the IT industry.
2. To analyze the impact of incentives on employee motivation and performance.
3. To evaluate employee perceptions of monetary versus non-monetary incentives.
4. To assess the relationship between incentives and job satisfaction.
5. To recommend strategies for designing effective incentive programs in IT organizations.

2. Theoretical Framework

Four classical motivation theories collectively provide the conceptual scaffolding for this study.

2.1 Maslow's Hierarchy of Needs (1943)

Maslow posited that human motivation follows a hierarchical structure, progressing from physiological and safety needs at the base to social, esteem, and self-actualization needs at higher levels. In the organizational context, monetary incentives (salary, bonuses) directly address lower-order physiological and safety needs, while non-monetary incentives (recognition, career advancement) address higher-order esteem and self-actualization needs. This distinction informs the dual classification of incentives adopted in this study.

2.2 Herzberg's Two-Factor Theory (1959)

Herzberg distinguished between hygiene factors—whose absence causes dissatisfaction but whose presence does not inherently motivate—and motivators that actively drive job satisfaction and performance. Salary and working conditions are hygiene factors; recognition, achievement, and career advancement are motivators. This framework anticipates the finding, confirmed in the present data, that recognition may at times outweigh financial rewards as a motivational driver.

2.3 Vroom's Expectancy Theory (1964)

Vroom's model holds that motivation is a function of three cognitive evaluations: expectancy (the belief that effort will yield performance), instrumentality (the belief that performance will yield reward), and valence (the subjective value of the reward). The model implies that incentive systems motivate employees only when they are credible, clearly linked to performance, and valued by the recipient—insights directly applicable to recommendations for transparent incentive communication in IT firms.

2.4 Skinner's Reinforcement Theory

Skinner's behavioral framework holds that positive reinforcement—rewarding desired behavior—increases its frequency, while extinction and punishment reduce unwanted behavior. Applied to incentive management, the theory supports performance-linked reward structures that consistently acknowledge and amplify productive employee behaviors, thereby shaping organizational culture over time.

3. Review of Literature

Nair and Ganesh (2020) established that compensation benefits, when paired with supportive management practices, substantially improve IT employee performance and morale, though their study gave limited attention to non-financial rewards. Karthikeyan (2020) confirmed that recognition and career growth opportunities complement monetary rewards in building organizational commitment, yet stopped short of a systematic comparison of the two incentive categories. Harish and Kumar (2021) and Kiran Kumar and Lavanya (2021) corroborated the positive association between structured reward systems and productivity, while acknowledging gaps in understanding employee reward preferences at the individual level.

Rajeshwari and Naveen Kumar (2022) observed that salary benefits and recognition jointly shape IT employee productivity, and Swathi and Ramesh (2022) highlighted the role of career growth in sustaining engagement. Maithily and Soumyaja (2023) contributed evidence that flexible, personalized work arrangements—increasingly valued by IT professionals—are powerful non-monetary motivators. Sajan, Viswanathan, and Mohan (2023) directly examined incentive impact in IT, finding that both financial and non-financial rewards influence motivation, but noted geographic limitations in their sample.

Narasimha and Neena (2024) demonstrated that well-structured motivation and engagement frameworks significantly reduce attrition in the Indian IT industry. Verma and Kumar (2024) extended this to the comparative context of Indian and foreign IT multinationals, finding welfare practices central to retention. Most recently, Madhu and Sudheer Kumar (2025) and Venkatesh (2025) provided integrated evidence that balanced, transparent incentive systems—encompassing both monetary and non-monetary elements—are the strongest predictors of sustained employee motivation and commitment.

Collectively, the literature converges on the need for balanced, fair, and individually responsive incentive systems, but empirical primary research on the Indian IT workforce—particularly at the level of employee preference mapping—remains relatively sparse, providing the rationale for the present study.

4. Research Methodology

4.1 Research Design

The study employs a descriptive research design, suitable for characterizing the attitudes, perceptions, and behavior of a defined population at a specific point in time. This design enables systematic description of employee opinions regarding incentive systems without experimenter manipulation.

4.2 Population, Sample, and Sampling Technique

The target population comprises employees across IT organizations located in Pune, Maharashtra, India. A convenience sample of 100 respondents was selected—a size considered adequate for generating meaningful descriptive statistics within the study's time and resource constraints. Convenience sampling was adopted due to the limited accessibility of the IT workforce and the exploratory nature of this academic investigation. Respondents represented diverse age groups, gender categories, experience levels, and job roles.

4.3 Data Collection

Primary data were collected through a structured, self-administered questionnaire distributed via Google Forms and personal contacts during early 2025. The instrument comprised 20 items: three demographic questions, two multiple-choice items on incentive preferences, and fifteen Likert-scale items (1 = Strongly Disagree to 5 = Strongly Agree) assessing motivation, satisfaction, fairness perceptions, and retention intentions. Secondary data were sourced from peer-reviewed journals, academic books, and organizational reports. All respondents provided informed consent; participation was voluntary and all data were kept strictly confidential.

5. Results and Analysis

5.1 Demographic Profile of Respondents

Table 1: Demographic Profile of Respondents

Variable	Category	n	%
Gender	Male	59	59%
	Female	41	41%
Age	20–25 Years	41	41%
	26–30 Years	27	27%
	31–35 Years	17	17%
	36+ Years	14	14%
Work Experience	Less than 1 Year	31	31%
	1–3 Years	31	31%
	3–5 Years	21	21%
	More than 5 Years	16	16%

The sample skews toward young, early-career professionals: 68% of respondents were aged 20–30, and 62% had fewer than three years of experience. This profile aligns with wider industry data on the youth-dominated composition of India's IT workforce and underscores the importance of understanding motivational preferences among this cohort.

5.2 Incentive Provision and Monetary Preference

Eighty-five percent of respondents confirmed that their organizations provide incentive schemes, indicating mainstream adoption of reward programs in the sampled IT firms. Among monetary benefits, project-based incentives were most valued (35%), followed by salary increments/appraisals (27%), cash or spot bonuses (24%), and performance bonuses (11%).

Table 2: Preferred Monetary Incentives

Monetary Incentive	n	%
Project-Based Incentive	35	35%
Salary Increment / Appraisal	27	27%
Cash Rewards / Spot Bonus	24	24%
Performance Bonus	11	11%
Other	2	2%

The prominence of project-based incentives reflects the project-centric nature of IT work: employees prefer rewards that are directly and visibly linked to their individual contributions rather than generalized organizational performance metrics.

5.3 Non-Monetary Incentive Preferences

Flexible work arrangements (Work From Home / flexible hours) were the most preferred non-monetary benefit (40%), followed by career growth and promotion opportunities (23%), recognition and appreciation (18%), and vacation/leave benefits (18%). This finding resonates with post-pandemic shifts in employee expectations and aligns with Herzberg's observation that autonomy and growth-enabling conditions are powerful motivators.

Table 3: Preferred Non-Monetary Incentives

Non-Monetary Incentive	n	%
Flexible Work (WFH / Flexible Hours)	40	40%
Career Growth / Promotion Opportunities	23	23%
Recognition & Appreciation	18	18%
Vacations & Leave Benefits	18	18%
Other	1	1%

5.4 Likert-Scale Analysis: Motivation and Satisfaction

Table 4: Summary of Likert-Scale Responses (Agree + Strongly Agree)

Statement	Agree + Strongly Agree (%)
Incentives encourage me to achieve targets	60%
I feel more engaged when incentives are provided	72%
I am satisfied with the incentive system	52%
Incentives are fair and transparent	59%
Incentives match my expectations	59%
The incentive system motivates me consistently	68%
Monetary incentives motivate more than non-monetary	70%
Non-monetary incentives are equally important	64%
A combination of both types motivates me most	83%
Incentives improve my job satisfaction	65%
Lack of incentives reduces my motivation	50%
Incentives influence my decision to stay	70%
Incentives encourage extra effort	57%
I understand the incentive system clearly	66%
Recognition motivates more than financial rewards	67%
A well-designed system increases long-term commitment	63%
Incentive schemes affect my work-life balance	47%

Several findings merit specific attention. The highest agreement rate (83%) was recorded for the combination statement (Q12), powerfully affirming the need for blended reward systems. Engagement (Q5: 72%) and retention (Q15: 70%) also yielded high agreement, confirming incentives as important drivers of both attitudinal outcomes. Satisfaction with the current system (Q6: 52%) was comparatively lower, indicating room for improvement in incentive design and communication.

Notably, 67% of respondents agreed that recognition and appreciation from management motivate them more than financial rewards (Q18), consistent with Herzberg's characterization of appreciation as a true motivator rather than a hygiene factor. The work-life balance item (Q20: 47%) showed the lowest agreement, suggesting that incentive schemes are generally not perceived as net negative for balance—but the substantial neutral response (38%) warrants organizational vigilance against performance-pressure-induced burnout.

6. Discussion

The findings converge on three overarching themes: the primacy of blended incentives, the growing salience of non-monetary rewards, and the criticality of perceived fairness.

First, the overwhelming endorsement of a combined incentive approach (83% agreement) vindicates the theoretical positions of both Maslow and Herzberg, who implicitly argued that human motivation is multi-layered and cannot be satisfied by any single category of reward. IT organizations that rely exclusively on financial packages risk neglecting the higher-order needs—esteem, autonomy, self-actualization—that are increasingly important to a well-educated, aspirational workforce.

Second, the prominence of flexible work arrangements as the leading non-monetary preference signals a structural shift in what IT employees value. Particularly for the 20–30 age cohort that dominates this sample, work-life integration is not a supplemental benefit but a core expectation. This finding has direct implications for post-pandemic HR strategy: flexibility is now a competitive differentiator in talent acquisition and retention.

Third, while 59% of respondents rated incentives as fair and transparent, the large proportion of neutral responses (33%) suggests that many employees are uncertain—rather than dissatisfied—about how rewards are calculated and distributed. Vroom's expectancy model predicts that ambiguity in the instrumentality link (performance to reward) will suppress motivation even when rewards are adequate. Clearer communication of performance criteria and reward calculations is therefore a high-leverage intervention.

Finally, the recognition finding (Q18: 67%) deserves strategic attention. Recognition programs are generally low-cost relative to their motivational yield. Organizations that systematically invest in manager-led appreciation, peer recognition platforms, and public acknowledgment can meaningfully amplify the impact of their financial incentive spend.

7. Conclusions

This study provides empirical evidence that incentives—monetary and non-monetary—are significant determinants of motivation, engagement, job satisfaction, and retention among IT professionals. The findings revealed that most employees are positively influenced by both monetary and non-monetary incentives provided by organizations.

Financial rewards such as salary increments, bonuses, and project-based incentives help improve employee performance and provide financial security. At the same time, non-monetary incentives such as recognition, appreciation, flexible work arrangements, and career growth opportunities improve employee morale, confidence, and work-life balance.

The research also found that employees prefer a balanced combination of both financial and non-financial rewards rather than depending on only one type of incentive. Transparent and fair incentive systems increase employee trust, loyalty, and long-term commitment toward the organization. The study further suggests that organizations should regularly improve their reward policies according to employee expectations and changing workplace needs. Flexible work culture, employee recognition, and supportive HR practices should be strengthened to reduce stress and improve retention. Properly designed incentive systems not only motivate employees to achieve organizational goals but also create a positive and productive work environment. Therefore, effective incentive programs are essential for IT organizations to maintain employee satisfaction, reduce turnover, improve performance, and achieve long-term organizational success.

8. Limitations

This study is subject to several limitations. The convenience sample of 100 respondents drawn from a single metropolitan area limits generalizability to the broader Indian IT workforce. Self-reported Likert data are susceptible to social desirability and response biases. The cross-sectional design precludes causal inference; longitudinal research would be needed to establish the durability of incentive effects. Future studies should employ stratified random sampling across multiple cities and company sizes, and may consider experimental or quasi-experimental designs to strengthen causal claims.

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